August 12, 2025

Kendall Foss
21855S FM 148
Kemp, TX 75143

Delivery via Email to: kfoss86@gmail.com

Dear Mr. Foss;

We are pleased to provide you with the following proposal. This proposal contemplates a 75% guarantee by the United States Small Business Administration, (SBA) under the following preliminary terms. This is not a commitment to lend but is to be used for discussion purposes only. A commitment can only be issued upon successful completion of full underwriting, and approval by T Bank N.A. ("Lender"), under an Authorization issued upon approval by the US Small Business Administration (SBA).

BORROWER: Entity to Be Formed

BUSINESS NAME: TBD

GUARANTORS: Kendall Foss

LOAN AMOUNT: $5,000,000

ACQUISITION PRICE: $5,000,000

EQUITY/OTHER: Equity Injection: Borrower will contribute **10%** of the total project costs in equity.
Seller Financing**:** Seller will finance $TBD of the purchase and will be subordinate to Lender/ SBA note(s). All or a portion of the Seller's Note may be placed on Standby for a portion of, or the entire term of the Lender/SBA Note(s).

LOAN PURPOSE: Pre-Qualification for Business Acquisition based on Proof of Funds and/or access to liquidity

TERM: 120 Months/10 Years

INTEREST RATE: The interest rate on your loan (the "Note Rate") will fluctuate based on the Wall St Journal Prime Rate (the "INDEX"), plus a "Margin Spread." The initial Note Rate will be set on the date your loan application is received by SBA. Based upon the current INDEX of **7.50%** and the Margin Spread of **2.50%** the Note Rate today would be **10%**.

RATE ADJUSTMENT PERIOD: The Note Rate will be subject to adjustment every calendar Quarter. The first adjustment will be on the first day of the first Calendar Quarter, and each subsequent Quarter thereafter, based on the most recently reported INDEX in effect at that time. The change in interest rate will be effective on that day regardless of whether T Bank, N.A. gives Borrower notice of the change.

PAYMENT: The estimated monthly principal and interest payments based upon the current rate would be approximately **TBD** per month.

USE OF PROCEEDS: See **Exhibit "A"** attached hereto for breakdown of Use of Proceeds.

COLLATERAL UCC Lien on ABA, eligible equipment/vehicles, eligible personal residences, Life Insurance (if applicable)/Commercial Real Estate

First Perfected Security Interest in the Furniture, Fixtures, Equipment, Accounts, Inventory, Chattel Paper and General Intangibles of the business, wherever located. An appraisal will be required for all Furniture, Fixtures, Machinery, and Equipment. Such appraisal must be prepared in a method and manner acceptable to Lender, CDC, and SBA.

PREPAYMENT PENALTY: There will be no prepayment penalty.

INSURANCE REQUIREMENTS: All insurance policies and the issuing companies must be acceptable to the Lender, in its sole discretion. Property and Casualty Insurance, Workers' Compensation Insurance and any other applicable insurance will be required. Life Insurance and collateral assignment may be required.

EXPENSES: You hereby authorize and request Lender to order all required Third-Party Reports such as appraisals, environmental reports, and credit reports ahead of final approval of the loan. Obligation to pay these expenses shall survive the termination of this Term Sheet. The appraisal and any other third-party reports will remain the property of T Bank N.A. and that a copy of the appraisal and other reports provided by third parties may not be released to you unless requested in writing after the loan closes, or upon decline if Bank declines the loan request.

TARGET CLOSING DATE: TBD

DOCUMENTATION AND ADDITIONAL INFORMATION: Loan is expressly conditioned upon:

- Funding for this project may be delayed or cancelled in the event of adverse changes in economic condition of the subject business or industry due to COVID 19 or other unforeseen circumstances, at Lender's sole discretion.

- SPECIAL NOTE: SBA requires the verification of Federal Tax Return filings of the business to be acquired, and for the individuals/principals of the acquiring entity and affiliates thereof. IRS is presently experiencing unprecedented delays in processing 2019 Tax Returns, and frequently report "No Record Found" if the return has either not been filed, or has not been processed by IRS. In those cases, the loan cannot close until the returns are processed and verified by transcripts from IRS.

- Provide all documentation listed in **Exhibit "C" "Business Acquisition."** Purchase/ Sale agreement must provide for non-compete agreement acceptable to Lender and SBA as determined in underwriting.

- Provide copy of lease. Remaining term must be equal to or greater than the loan term.

- Need1919

- See **Exhibit "C"** attached hereto for additional requirements.

The final terms and conditions of the proposed financing are subject to approval by Lender's Credit Committee and the Small Business Administration ("*SBA*"). All legal and financial documents deemed necessary by Lender in order to close your loan must be provided and executed to the satisfaction of Lender and the SBA. If Lender approves your loan, you will be responsible for the cost of appraisals, environmental reports, title insurance, document preparation and other customary closing costs as applicable.

Further processing of your application will continue upon receipt of an acknowledged copy of this letter and completed application documents, and a deposit in the amount of **$5,000**, payable to T Bank N.A. This deposit will be applied as follows: **$2,500** will be applied to any out of pocket third-party expenses such as appraisal and environmental reports; **$2,500** will be applied as non-refundable deposit. However, if your loan application is declined by Lender, this deposit will be eligible for refund, less any actual costs incurred in the processing of your loan request. If your application is withdrawn by you, or any factual information is found to be misrepresented, the deposit of **$2,500** will be forfeited in its entirety. If your loan is approved, **$2,500** of this deposit will be applied to Packaging Fee, and **$2,500** towards other closing costs.

Unless specifically extended in writing by Lender, the terms and conditions contained herein will expire 10 days from the letter date. If you should have any questions, please do not hesitate to call me directly.

I look forward to working with you towards the successful completion of your project.

Please return scanned copies of your deposit check and signed letter to me at ggiro@tbank.com. Please mail the original letter and check to **T Bank N.A., 16200 Dallas Parkway, Suite 190, Dallas, TX 75248, Attention: Loan Operations or wire funds to**:

T Bank
16200 Dallas Parkway Suite 190
Dallas, TX 75248

ABA # 111024975

ACCOUNT # 91240010-0070

Please notify: Loan Operations
At 972-720-9000

Reference: "Business Name" & Reason – Good Faith Deposit

Sincerely,

Glenn Giro

Glenn Giro
SVP Business Development Officer
Email: ggiro@tbank.com
704-609-3191

ACKNOWLEDGED:

I understand that the preliminary information given above is provided for informational purposes only and should not be considered a commitment for financing by Lender and/or any of its subsidiaries. This information may change without notice prior to final approval.

Borrower

ETBF – Kendall Foss

By: _____ Date:_____
Kendall Foss, Title: Owner

Individual Guarantors:

By: _____ Date:_____
Kendall Foss, Individually